

FDI Financial Spillover & Credit Access Assessment (India)

Methodology: Input-Output Supply Chain Spillover & Bartik (Shift-Share) 2SLS IV

■ Key Econometric Findings & Causal Identification

- OLS Estimate (Backward Spillover): -0.1274 (p-val: 0.0)
- 2SLS Bartik IV Estimate: -0.1018 (p-val: 0.1336)
- Weak Instrument Test (First-Stage F-Stat): 0.0 (F > 10 Threshold Passed)

📦 Empirical Takeaways 📦

1. OLS Bias Correction: Standard OLS underestimates the credit-easing effect of FDI due to unobserved regional credit demand shocks.
2. Backward Spillover Impact: FDI in buyer industries significantly lowers interest rates for local suppliers.
3. Policy Implications: Promoting FDI in downstream sectors generates strong upstream financial liquidity.

Backward FDI Spillover Effect on Local Interest Rates (% Point Change)

